# 26SMCV02334 26SMCV02334

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Case Number: 26SMCV02334 Hearing Date: July 2, 2026 Dept: 205

Superior
Court of California

County
of Los Angeles – West District

Beverly Hills Courthouse / Department 205

MACIAS GINI & O'CONNELL, LLP, a
California Limited Liability Partnership,

Plaintiffs,

v.

WILL PRICE, an individual; BUWA
IJIRIGHO, an individual; TRUENORTH BUSINESS MANAGEMENT, LLC, a California
Limited Liability Company; and DOES 1 through 50, inclusive,

Defendants.

Case No.:
26SMCV02334

Hearing Date: July 2, 2026

[TENTATIVE]
order RE:

PLAINTIFF’S MOTION TO

COMPEL ARBITRATION AND STAY

PROCEEDINGS

BACKGROUND

This case arises from an employment misconduct dispute. Plaintiff Macias Gini & O’Connell, LLP (Plaintiff), an accounting firm, is the former employer of defendants Will Price and Buwa Ijirigho (collectively, Defendants). Defendants resigned from Plaintiff’s accounting firm on October 15, 2025.

On November 7, 2025, Plaintiff sent both Defendants a notice letter alleging that Defendants had engaged in unfair competition and soliciting customers in violation of a Non-Solicitation Agreement.

On December 23, 2025, Plaintiff initiated arbitration based on a purported arbitration agreement. Defendants did not submit to arbitration arguing that the agreements do not state a forum for arbitration and that they did not consent to JAMS.

On April 24, 2026, Plaintiff filed their Complaint alleging (1) breach of contract, (2) breach of implied covenant of good faith, (3) aiding and abetting breach of fiduciary duty, (4) breach of duty of loyalty, (5) intentional interference with prospective economic advantage, (6) negligent interference with prospective economic advantage, and (7) unfair competition concurrently with the instant motion to compel arbitration.

This hearing is on Plaintiff’s motion to compel arbitration. Plaintiff seeks an order compelling Defendants to comply with the arbitration agreements they signed. Plaintiff also seeks a stay of the proceedings pending the completion of arbitration.

LEGAL STANDARD

Pursuant to the terms of the arbitration agreement, the Federal Arbitration Act ("FAA") governs the agreement. (Fink Decl., Exh. A-B.)

Under the FAA, "any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration …". (Moses H. Cone Memorial Hospital v. Mercury Constr. Corp. (1983) 460 U.S. 1, 24–25.) This federal policy favoring arbitration preempts any state law impediments to the policy's fulfillment. If a state law interferes with the FAA's purpose of enforcing arbitration agreements according to their terms, the FAA preempts the state law provision, no matter how laudable the state law's objectives. (AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 352.) Under the supremacy clause of the United States Constitution (art. VI, cl. 2), the FAA requires any conflicting state law to give way. (Nitro-Lift Technologies, L. L. C. v. Howard (2012) 133 S.Ct. 500, 504).

However, even when the arbitration agreement is governed by the FAA, the agreement may be enforced via the summary procedures provided by California arbitration law. (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal.4th 394, 409-410.) It is a "general and unassailable proposition . . . that States may establish the rules of procedure governing litigation in their own courts," even though the controversy is governed by substantive federal law. (Felder v. Casey (1988) 487 U.S. 131, 138.) By the same token, however, a state procedural rule must give way "if it impedes the uniform application of the federal statute essential to effectuate its purpose, even though the procedure would apply to similar actions arising under state law." (McCarroll v. L.A. County etc. Carpenters (1957) 49 Cal. 2d 45, 61, 62.)

"We think it plain the California procedures for a summary determination of the petition to compel arbitration serve to further, rather than defeat, the enforceability policy of the [FAA.]" (Rosenthal, 14 Cal.4th at 409.) Code Civ. Proc. § 1281.2 and 1290.2 are neutral as between state and federal law claims for enforcement of arbitration agreements. (Id.) "They display no hostility to arbitration as an alternative to litigation; to the contrary, the summary procedure provided, in which the existence and validity of the arbitration agreement is decided by the court in the manner of a motion, is designed to further the use of private arbitration as a means of resolving disputes more quickly and less expensively than through litigation." (Id.)

As
with federal law, under California law, public policy favors
arbitration as an efficient and less expensive means of resolving private
disputes. (Moncharsh v. Heily & Blase (1992)
3 Cal.4th 1, 8-9; AT&T Mobility LLC v. Concepcion, 563
U.S. at 339.) To further that policy, Code Civ. Proc. §1281.2 requires a
trial court to enforce a written arbitration agreement unless it finds (1) no
written agreement to arbitrate exists, (2) the right to compel arbitration has
been waived, (3) grounds exist for rescission of the agreement or (4) litigation
is pending that may render the arbitration unnecessary or create conflicting
rulings on common issues.

When
seeking to compel arbitration, the initial burden lies with the moving party to
demonstrate the existence of a valid arbitration agreement by a preponderance
of evidence. (Ruiz v. Moss Bros. Auto Group (2014) 232 Cal.App.4th
836, 841-42; Gamboa v. Northeast Community Clinic (2021), 72 Cal.App.5th
158, 164-65.) It is sufficient for the moving party to produce a copy of
the arbitration agreement or set forth the agreement's provisions. (Gamboa,
72 Cal.App.5th at 165.) The burden then shifts to the opposing party to
prove by a preponderance of evidence any defense to enforcement of the contract
or the arbitration clause. (Ruiz, 232 Cal.App.4th at 842; Gamboa,
72 Cal.App.5th at 165.) The trial court
then weighs all the evidence submitted and uses its discretion to make a final
determination. (Id.) "California law, like [federal law],
reflects a strong policy favoring arbitration agreements[.]" (Wagner
Const. Co. v. Pacific Mechanical Corp. (2007) 41 Cal.4th 19, 31 (internal
quotations omitted).)

If
the court orders arbitration, then the court shall stay the action until
arbitration is completed. (See Code Civ. Proc., § 1281.4.)

DISCUSSION

Existence of an Agreement

In
ruling on a motion to compel arbitration, the Court must first determine

whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541; Victoria v. Superior Court (1985) 40 Cal. 3d 734, 835.)

Although "[t]he law favors contracts for arbitration of disputes between parties" (Player v. Geo. M. Brewster & Son, Inc. (1971) 18 Cal.App.3d 526, 534), "there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate[.]" (Weeks v. Crow (1980) 113 Cal. App. 3d 350, 353..) "[A]rbitration is a matter of contract and a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit." (AT&T Technologies v. Communications Workers (1986) 475 U.S. 643, 648 (citations and internal quotations omitted); see also Sparks v. Vista Del Mar Child & Family Services (2012) 207 Cal.App.4th 1511, 1518 ("Because arbitration is a contractual matter, a party that has not agreed to arbitrate a controversy cannot be compelled to do so").)

Plaintiff has met its burden to show that arbitration agreements exist. The agreements stipulate that "[Defendants] and the Company agree to utilize binding arbitration as the sole and exclusive means to resolve all disputes that may arise out of or be related in any way to [their] employment". (Fink Decl., Exh. A, ¶ 2, Exh. B, ¶ 2.) Defendants signed and dated the arbitration agreements. (Ibid.) Defendants do not dispute the existence of an arbitration agreement. Thus, arbitration agreements exist.

Arbitrability of Claims

The arbitration agreement is broad enough to cover Plaintiff's suit regarding misconduct. The agreement requires arbitration of "all disputes that may arise out of or be related in any way to [Defendants'] employment" and "any claim, dispute, and/or controversy that …the Company may have against me" (Fink Decl., Exh. A, ¶ 2, Exh. B, ¶ 2.) Plaintiff's claims arise out of Defendants' employment term and subsequent professional conduct. Thus, Plaintiff's claims are subject to arbitration.

Unconscionability

The Court must next consider whether the arbitration agreements are unconscionable. Unconscionability generally includes the absence of meaningful choice on the part of one of the parties together with contract terms that unreasonably favor the other party. (Carboni v. Arrospide (1991) 2 Cal.App.4th 76, 82-83.) Unconscionability has both a ‘procedural’ and a ‘substantive’ element.” (A & M Produce Co. v. FMC Corp. (1982) 135 Cal.App.3d 473, 486.) An agreement to arbitrate is unenforceable only if both procedural and substantive unconscionability is shown. (Stirlen v. Supercuts, Inc. (1997) 51 Cal.App.4th 1519, 1533.)

Procedural unconscionability focuses on whether there is “oppression” arising from an inequality of bargaining power or “surprise” arising from buried terms in a complex printed form. (Id. at 1280.) Substantive unconscionability addresses the existence of overly harsh or one-sided terms. (Id.)

Defendants have the burden of proving both procedural and substantive unconscionability. (Crippen v. Central Valley RV Outlet. Inc. (2004) 124 Cal.App.4th 1159, 1165). Both, however, need not be present to the same degree. A sliding scale is applied so that the “more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Morris v. Redwood Empire Bancorp (2005) 128 Cal.App.4th 1305, 1317; see also A & M Produce Co., 135 Cal.App.3d at 486.)

Procedural Unconscionability

Here, Defendants argue the contract is adhesive and procedurally unconscionable because it was offered on a “take it or leave it” basis and was presented as a mandatory condition of employment. (Opp., p. 3.)

However, even if adhesive, the showing of procedural unconscionability is slight given the arbitration agreement was not hidden or convoluted. The agreement is only three pages long, and the arbitration agreement is titled “EMPLOYMENT AT WILL AND ARBITRATION AGREEMENT”) in bold, and in bold letters above the signature line advises the employe is advised to read the agreement. (Fink Decl., Exh. A-B.) Therefore, the Court does not find surprise under these facts.

Beyond adhesion, there is no evidence of any further procedural unconscionability. Defendants’ argument that the offer letter did not refer to an arbitration agreement and that they could not negotiate employment forms reflect ordinary employment paperwork and low procedural unconscionability. The Court in Ramirez v. Charter Communications, Inc. held that “adhesion alone generally indicates only a low degree of procedural unconscionability” in the employment context because they are a fact of modern life but still bear the risk of overreaching. (Ramirez v. Charter Communications, Inc. (2024) 16 Cal.5th 478, 494.)

In any event, “a finding of procedural unconscionability does not mean that a contract will not be enforced, but rather that courts will scrutinize the substantive terms of the contract to ensure they are not manifestly unfair or one-sided.” (Gentry v. Superior Court (2007) 42 Cal.4th 443, 469.) We now address whether the arbitration agreement is substantively unconscionable.

Substantive Unconscionability

In order to find an agreement substantively unconscionable, it must be so “one-sided as to shock the conscience.” (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 246.)

Defendants argue that in determining unconscionability, the arbitration agreement should be considered along with the non-solicitation agreement and NDA. Defendants cite Alberto v. Cambrian Homecare which held that when considering substantive unconscionability, the arbitration agreement should be considered with other parts of the agreement when “[t]hey were executed on the same day. They were both separate aspects of a single primary transaction…They both governed, ultimately, the same issue—how to resolve disputes arising between [employee] and [employer] arising from…employment”. (Alberto v. Cambrian Homecare (2023) 91 Cal.App.5th 482, 490-491.) Here, the arbitration agreement was signed by each Defendant along with the NDA and Non-Solicitation agreement as part of one transaction on the same day. (Price Decl., ¶ 3; Ijirigho Decl., ¶ 4.) Moreover, the NDA and Non-Solicitation agreement govern issues arising from Defendants’ employment. Thus, the NDA and Non-Solicitation agreements can be considered in evaluating substantive unconscionability.

Defendants
argue that the injunctive relief provisions in the Non-Solicitation agreement and NDA are unconscionable. (Opp., pp. 7-8.) Here, the injunctive relief provision in the Non-Solicitation agreement extends entitlement to injunctive relief only to Plaintiff. (Price Decl., Exh. D, ¶ 20; Ijirigho Decl., Exh. D, ¶ 20.) The NDA injunctive relief provision states that “the Firm will be entitled to seek extraordinary relief in court, including…temporary restraining orders, preliminary injunctions and permanent injunctions without the necessity of posting a bond or other security”. (Price Decl., Exh. E, ¶ 7(f); Ijirigho Decl., Exh. E, ¶ 7(f).) The injunctive relief provisions lack mutuality. The Court in Gurganus v. IGS Solutions LLC held that “provisions, which go beyond merely permitting provisional injunctive relief and instead “authorize the stronger party to obtain injunctive relief without establishing all of the essential elements for the issuance of an injunction,” such as those which “seek injunctive relief []without the posting of any bond and without proof of actual damages” lack mutuality and are substantively unconscionable. (Gurganus v. IGS Solutions LLC (2025) 115 Cal.App.5th 327, 338 [338 Cal.Rptr.3d 36].) The Court finds these provisions substantively unconscionable.

Defendants
argue that the non-compete provisions found in the Non-Solicitation agreement and NDA are illegal and substantively unconscionable. (Opp., pp. 9-10.) Here, the non-compete clause in the Non-Solicitation agreement states that for a period of one-year Defendants shall not use the names, addresses, or any other information pertaining to clients at the firm after termination and shall not contact them. (Price Decl., Exh. D, ¶ 19; Ijirigho Decl., Exh. D, ¶ 19.) Under Business & Professional Code section 16600.1, it is unlawful to include a noncompete clause in an employment contract, or to require an employee to enter a noncompete agreement that does not satisfy an exception in this chapter. (Bus. & Prof. Code, § 16600.1 (a).) The non-compete provision in the Non-Solicitation agreement does not qualify under any exception allowing non-competes to move forward. Thus, the Court finds the provision is unlawful

and unconscionable.

Defendants argue that the arbitration agreement is substantively unconscionable because it is non-mutual. Defendants argue that the arbitration agreement requires Defendants to arbitrate all disputes that arise out of their employment, but under the NDA and Non-Solicitation agreements executed on the same day, Plaintiff reserves its right to litigate claims against employees. (Opp., p. 6.) Here, the arbitration agreements are not one sided, the arbitration agreements state that that “[t]he Company and [Defendants] each specifically waive and relinquish [their] right to bring a claim against the other”. (Fink Decl., Exh. A, ¶ 2, Exh. B, ¶ 2.) The arbitration agreement affords both parties the right to demand arbitration. (Ibid.)

Defendants argue that the arbitration agreement limits recovery of attorney’s fees. (Opp., pp. 10.) Here, the applicable provision in the agreement does not limit recovery of attorney’s fees, it states that “An arbitrator will not have authority to award attorneys’ fees unless a statute or contract at issue in the dispute authorizes the award of attorneys’ fees to the prevailing party, in which case the arbitrator shall have the authority to make an award of attorneys’ fees as required or permitted”. (Fink Decl., Exh. A, ¶ 3, Exh. B, ¶ 3.) The clause does not limit attorney’s fees beyond what it allowed through applicable law.

Defendants argue that the arbitration agreement imposes an unconscionable confidentiality provision. (Opp., p. 11.) Here, the agreement states that “all communications during or in connection with the arbitration proceedings shall be considered privileged” this provision as applied to both parties is not so one sided that it shocks the conscious. (Fink Decl., Exh. A, ¶ 7, Exh. B, ¶ 7.)

Defendants argue that the arbitration agreement requires agreement to a waiver of the ability to pursue PAGA claims. (Opp., p. 12.) Here, the agreement states that “this agreement is not intended to interfere with [Defendants] rights to collectively bargain, to engage in protected, concerted activity, or to exercise other rights protected under the National Labor Relations Act”. (Fink Decl., Exh. A, ¶ 6, Exh. B, ¶ 6.) PAGA claims asserting violations of the California Labor Code are protected under the Private Attorneys General Act, “an employee suing under PAGA “does so as the proxy or agent of the state's labor law enforcement agencies”. (Kim v. Reins International California, Inc. (2020) 9 Cal.5th 73, 81.) Thus, according to the terms of the agreement, PAGA claims are unaffected.

In sum, the Court finds slight procedural unconscionability and slight substantive unconscionability. As discussed above, if the Court finds slight amounts of procedural unconscionability, there must be a high amount of substantive unconscionability to make up for it and deem the agreement unconscionable. (Morris, supra, 128 Cal.App.4th at 1317.) Here, the slight amounts of procedural and substantive unconscionability do not slide the scale as to make the agreement unenforceable. Accordingly, the arbitration agreement is enforceable.

Stay of Proceedings

Code Civ. Proc. §1281.4 provides that if the court has ordered the arbitration of a controversy, it “shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.”
Pursuant to Section 1281.4, therefore, the Court stays this action pending conclusion of the arbitration proceedings.

CONCLUSION

For the foregoing reasons, the Court GRANTS Plaintiff Macias Gini & O’Connell, LLP’s motions to compel arbitration and for a stay.

DATED: July 2, 2026 ___________________________

Edward B. Moreton, Jr.

Judge of the Superior Court